

Quarterly Investment Report

Q2 2021 - Spirax-Sarco Engineering Pension Plan

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.5%	+1.85%	-3.34%
Credit	23.0%	-0.92%	+3.68%
Equities	8.2%	+0.60%	-1.88%
Property	7.3%	+0.38%	+1.24%
Cash	7.5%	+1.37%	+2.25%

Market Commentary

During Q2 2021, gilt yields moved by approximately -32bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.